was like a carbon tax. The government amended the law to take authority to impose this cess at the rate of Rs 100 per tonne, but started with a cess of Rs 50 per ton on coal. The cess was raised from time to time. In 2014–15, it was raised to Rs 100 per ton, in 2015–16 to Rs 200 per ton and finally to Rs 400 per ton. The cess on coal, also known as clean energy cess, was abolished in 2017 when GST was introduced and the same amount was collected as GST Compensation Cess to pay the shortfall on projected GST revenues of states. The cess on coal still operates as GST Compensation Cess.

India Needs a Comprehensive Pollution and Carbon Tax

Carbon emergency has acquired real international crisis proportion. The movement to get to net zero emissions globally by 2050 has gathered considerable traction. There is a definite need for India to also contribute imaginatively and meaningfully to the international efforts to get to net zero by 2050.

India also suffers the more immediate problem of high pollution. Life in Delhi gets disrupted in November–December every year with the quality of life as measured by the air quality index (AQI) going down to the very poor and severe category—sometimes getting into the unfit to live grade of more than 500 AQI. More than seventeen of the top twenty most polluted cities in the world are Indian. We need to sort out the pollution problem as well.

A good and equitable measure in this regard is to impose a Pollution and Carbon Tax linked to the negative value added by businesses measured in terms of CO_2 equivalent for carbon emissions and a robust pollutant equivalent for all other pollutants (let us call it PO_2 equivalent for the present). Businesses can be subjected to preparing an account of the CO_2 and PO_2 contributed by them during the year while producing their goods